

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$124.47 ▲ 0.18%	12M Price Target \$145.00	52-Week Range \$63.52 – \$153.86	Market Cap \$111.91B
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HOOD: Prediction Markets Expansion Is the Real Story

WHAT HAPPENED

- HOOD ticked up modestly (+0.18%) while DraftKings dropped 4% on worries about how much they'll have to spend to compete in prediction markets — this is a "HOOD is winning without trying" moment. Robinhood already has the trading infrastructure and users; DKNG has to build from scratch and burn margins doing it.
- The Zacks piece flagging that HOOD's prediction markets are moving BEYOND sports (into economics, elections, events) is the bigger deal — this pushes them out of the "gambling" bucket and into the "event contracts / derivatives" bucket, which is a much friendlier regulatory neighborhood.

WHY IT MATTERS

The stock has run from \$110 to \$124 in six sessions on climbing volume — that's momentum money piling in ahead of what looks like a prediction-markets land grab. The key inference: HOOD is being repriced from "meme-stock brokerage" to "diversified fintech platform," and every incremental product (crypto, prediction markets, retirement, credit card) compounds that narrative shift. If the CFTC keeps waving through event contracts under the current administration's lighter-touch approach, HOOD has a legitimate multi-year runway to eat into what was previously DraftKings and FanDuel's turf — with better margins because it's a trading fee, not a bookmaking spread. Watch for the market to start valuing HOOD closer to a Nasdaq/CME-style exchange multiple rather than a Schwab-style broker multiple.

POLICY & POLITICAL WATCH

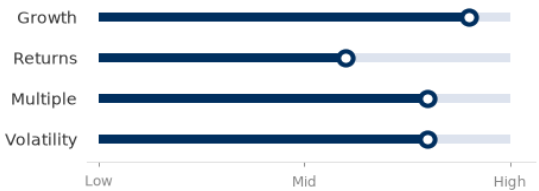
The big political tailwind: the current administration's SEC and CFTC leadership have been notably hands-off on both crypto and prediction markets — the CFTC essentially green-lit Kalshi-style event contracts, and HOOD has been aggressively expanding into that lane. The risk to watch is any state-level pushback (several state gaming regulators have tried to block prediction markets, arguing they're gambling) — if a federal court sides with the states, HOOD's fastest-growing product line takes a hit. Also keep an eye on the ongoing debate about a financial transaction tax — it resurfaces periodically and would directly hit HOOD's payment-for-order-flow business model, though it has near-zero chance in the current Congress.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$124.47
12M Price Target	\$145.00
Upside / (Downside)	+16.5%
Market Cap	\$111.91B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	67.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$128.00	\$110.00
6 Months	\$165.00	\$140.00	\$95.00
1 Year	\$190.00	\$145.00	\$85.00
2 Years	\$240.00	\$175.00	\$75.00
5 Years	\$380.00	\$250.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.29%) leading today, but the real 5-day story is Tech (+5.96%) — money is flowing to growth again as rate-cut expectations firm up. Fintech specifically is benefiting from the deregulatory posture out of DC.

COOLING OFF: Energy (-4.93% over 5 days) is bleeding — oil weakness and no policy tailwind. Healthcare mixed on drug pricing uncertainty.

ROTATION WATCH: Money is rotating out of defensive names (staples, healthcare) and into risk-on tech and fintech — that's a direct tailwind for HOOD, which trades like a leveraged bet on retail risk appetite.

RELATED PLAY: If HOOD's prediction markets thesis works, the actual exchange operators benefit too — Kalshi is private, but ICE and CME could see indirect upside. On the loser side, DKNG and FLUT face real margin pressure.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Winning on the same crypto-normalization theme — friendly regulators, rising volumes, product expansion.
- IBKR (Interactive Brokers): Quietly compounding on the same retail-trading tailwind but at a much cheaper valuation.

HOOD CONTEXT: HOOD is LEADING its peer group — up materially more than COIN or IBKR over the past month, which tells you the market sees prediction markets as a HOOD-specific catalyst, not just a sector wave. That leadership is a good sign but also means HOOD has more to lose if sentiment turns.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — The business transformation is real and the policy environment is as friendly as it's ever been, but the stock has already moved a lot and I'd rather buy weakness than chase strength.

POSITION SIZE: 2-4% of portfolio — the upside is real but this thing can drop 20% in a week on any macro scare, so don't oversize it.

ENTRY POINTS: Add on pullbacks to \$110-118; if it retests \$100 on a broader market selloff, back up the truck.

TIME HORIZON: 12-24 months — the catalyst is watching prediction markets revenue show up meaningfully in Q4 2026 and Q1 2027 earnings.

WHEN TO BAIL: If a federal court rules against prediction markets, if crypto trading volume drops more than 40%, or if they miss revenue by double digits — cut it.

HEDGING: If you're worried about a broader tech selloff, buy a small amount of protective puts a few months out, or pair the position with a small short in DraftKings, which faces the same prediction-markets pressure without HOOD's platform advantage.